



Carmine Rosato's Playbook

OrderFlow Masterclass

Instruments: Futures Options

Trading Style: OrderFlow Day Trading

Understanding Order Flow Trading

At its core, every financial market operates as an **ongoing auction**. Buyers compete to purchase at the lowest possible price, while sellers compete to sell at the highest. This constant negotiation between supply and demand is what causes price movement, and **order flow trading** is the process of reading that negotiation as it happens, in real-time.

Unlike traditional technical analysis, order flow trading isn't about prediction or relying on indicators. It's about **studying the actual transactions** taking place, observing where buyers and sellers are entering, identifying which side is being aggressive, who is absorbing that aggression, and where control shifts between the two. Every tick, every trade, every change in the bid or ask tells a small part of that ongoing story.

Identify a Level of Interest

The market is a **live, continuous auction**. But instead of an auctioneer shouting bids, traders from around the world are constantly placing and executing orders. Every one of those transactions is a small negotiation between buyers and sellers that defines the next price.

At any moment, two types of participants are interacting:

Limit Orders (Passive Liquidity)

Limit orders are placed in advance at specific prices and wait for the market to come to them.

- A **buy limit order** adds liquidity to the **bid** side. The trader is willing to buy, but only at that price or lower.
- A **sell limit order** adds liquidity to the **ask** side. The trader is willing to sell, but only at that price or higher.

These orders **do not move the price**. They sit on the book, providing liquidity for others who want to trade immediately.

Market Orders (Aggressive Liquidity Takers)

Market orders are placed by traders who want to enter or exit the market right now, regardless of price. They represent urgency — the willingness to take whatever price is available.

- A **buy market order** accepts the current offer and buys from whoever is selling at the ask.
- A **sell market order** hits the current bid, selling immediately to whoever is buying.

These orders are what move the price. They consume the liquidity that passive traders have provided.

Why Price Moves

Price doesn't rise because there are "more buyers than sellers" — that's a myth. For every buyer, there's always a seller. What actually drives movement is the intensity of aggression between them.

- When **buyers** are more aggressive, they lift offers and push the price higher.
- When **sellers** are more aggressive, they hit bids and push the price lower.
- When both sides are equally aggressive, the price balances and consolidates.

This constant tug-of-war between **aggressors and passives** — between those demanding liquidity and those providing it — shapes every move you see on a chart. Understanding this interaction gives you insight into why the price is moving, not just that it's moving.

What Candles Really Represent

A candlestick is simply a **summary** of the auction that occurred within a specific period of time.

- The **open** and **close** show where that auction began and ended.
- The **high** and **low** mark the extremes of the negotiation.

But what a candle doesn't reveal is how those moves were formed. You can't see which side was in control, where large traders stepped in, or exactly how the price moved between levels.

That's the gap order flow analysis fills. Instead of only seeing the result of a candle, you see the **process**: who was buying or selling, who was aggressive or passive, and whether momentum was building or fading. It's like looking under the hood of the market's engine rather than just watching the car drive by.

Why Support and Resistance Form

Support and resistance are not magical lines or indicators. They exist because one side of the auction continually absorbs the other.

- At **resistance**, large passive sellers are waiting to sell at or near a certain price. Every time buyers try to push higher, their market orders are absorbed by these resting sell orders. When buying momentum fades, the price turns lower.
- At **support**, large passive buyers sit with limit orders waiting to buy. When aggressive sellers hit those bids but can't push through, the selling pressure fades, and the price bounces.

What looks like a "turning point" on a chart is simply the area where **aggressive orders fail to overpower passive liquidity**.

The Real Structure Behind Price

Every trade has two sides: one taking liquidity and one providing it. The balance between these two forces decides whether the price holds, breaks, or reverses.

- **Aggressive participants** reveal **intent** — they're showing urgency, willing to trade immediately at any price.
- **Passive participants** reveal **conviction** — they're waiting for the price to come to them, more confident in their level.